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India's digital bull run has just begun. This is an early stumble from which it will recover to emerge as the most vibrant of digital ecosystems in the world

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YEAR 2022 HAS begun with an intent on washing away the sins of the dazzling post-Covid-19 bull run. While major market indices such as the Dow Jones or the Nifty have barely flinched so far, the pain is searing in the digital end of the spectrum where the biggest valuation excesses exist. This reset had to happen; only the trigger was in question. The US Federal Reserve has provided the market with an excuse to blow away the accumulated froth and bring these high-flyers down to earth. India has merely mirrored the trend.

The bloodbath brings back memories of the brutal technology meltdown at the turn of the century. Post-Covid-19 poster boys such as Zoom Video and PayPal have lost over 70 per cent of their market value, Netflix and the mighty Meta-Facebook have halved and even Tesla is down a third from its peak. It's a carnage.

Back home, the recently listed

digital unicorns which investors couldn't get enough of just last year, are in the middle of a grand wallop. Zomato and Nykaa have halved from their peaks, as has Policybazaar, while Paytm is the leader of the fall with a 60 per cent crash. Many old-timers in the market are probably having a good laugh as these newbies and their admirers get their comeuppance.

Such crashes are always a good time for reflection. And on doing that, one is struck by how eerily similar the pattern of this digital boom-bust is to the previous one. As they say—the more things change, the more they remain the same. If it was the ludicrous PE to Growth or PEG ratio in 2000, this time it was the Price to Sales ratio for digital stocks. The same investment bankers who pimped IPOs like Reliance Power to the gullible public, paraded these digital beauties before eager youngsters with no experience of market cycles. And brokerages, with a few exceptions, put out glowing 'buy' reports with price targets well ahead of the peak prices from which these stocks crashed. The same cheerleaders, doing the thing they always do—fan the flames of greed and madness.

The promoters of these digital unicorns shouldn't get a free pass either. Often, it was a case of them playing a game of collusion with private equity investors to raise capital at ever increasing valuations before providing them an exit with the IPO. Retail investors need to be very watchful about this trend. In a bygone era, a business would have to prove itself, turn profitable and then come to the IPO market to raise capital for growth. The game has changed. Easy access to private equity capital has ensured that the real jump in valuation is captured by these early investors and the general public is suckered in at the last stage to buy an unprofitable entity at a grossly inflated valuation. Is it any surprise then that these stocks are crashing? It was so predictable that very few serious professional investors would have bought any of these names post listing.

THE FIRST WARNING sign should have come from the advent of the Price to Sales ratio, propagated widely in the US to value NASDAQ stocks. This is such a bogus metric, disheeding the most basic tenet of investing—a stock